

Lockheed Martin

Business Development Dossier

Industry	Defense & Aerospace
Revenue	\$73B
Employees	122,000
Ideal Customer Profile Score	90

ICP SCORING MODEL



ICP = Signals + Revenue + Employees + Fit (max 100)

Signals (0-35)	Top 4 signals scored; each = base(60%) + recency bonus <30d: 40% <90d: 30% <180d: 20% older: 10%
Revenue (0-25)	\$500M-\$10B sweet spot -> 70-100% of 25 pts Below \$500M -> pro-rata x 0.5 Above \$10B -> 60%
Employees (0-20)	2,000+ preferred (70-100%) 500-2K partial (50-70%) Below 500 -> pro-rata x 0.3
Fit (0-20)	High-fit types: reorg, transformation, M&A, hiring, funding, partnership -> 5 pts ea (max 12) + diversity 2/type (max 8)

Prepared March 19, 2026

McChrystal Group

Leadership Advisory & Organizational Effectiveness

SECTION 1

Organization Snapshot

Legal Name	Lockheed Martin Corporation
Headquarters	Bethesda, Maryland
Founded	1995

Ownership

Public (NYSE: LMT); widely held institutional ownership. No controlling shareholder.

Footprint

Operations across U.S. (Fort Worth TX, Marietta GA, Palmdale CA, Camden AR, Moorestown NJ, Denver CO, Sunnyvale CA) and 15 global F-35 production sites. International operations in UK, Australia, Japan, Italy, and 20+ allied nations. 122,000 employees.

SECTION 1b

Company Overview

Lockheed Martin is the world's largest defense contractor, delivering advanced aircraft (F-35, F-16), missile systems (THAAD, PAC-3, Javelin), space systems (Orion, GPS III), and rotary/mission systems (Black Hawk, AEGIS). With record F-35 deliveries (191 in 2025), \$3.5B invested in production capacity, and 15 global production sites, Lockheed is scaling like never before - creating organizational coordination demands across a 122,000-person global enterprise.

SECTION 2

Financial Health & Growth Stage

Understanding Lockheed Martin's financial position and trajectory is critical to framing any engagement conversation.

Revenue: ~\$73B annually (Q4 2025: \$20.3B, up from \$18.6B). FY2025 net earnings \$5.0B (\$21.49/share). Free cash flow \$6.9B.

Profitability: Strong margins across all four segments. Aeronautics (F-35, F-16) is the largest and most visible. Missiles and Fire Control benefits from global demand for precision munitions.

Backlog: Massive multi-year backlog driven by F-35, hypersonic weapons, space systems, and missile defense. International demand accelerating as NATO allies increase defense spending.

Capital Allocation: \$3.5B invested in production capacity and next-gen technologies in 2025. Strong share buyback and dividend program.

Key Pressures: F-35 sustainment costs criticized by DoD; supply chain constraints limiting production rate increases; skilled labor shortages in aerospace manufacturing; international sales complexity (ITAR, FMS).

Key Tailwinds: Record global defense spending; F-35 production rate increasing; international orders accelerating; hypersonic/missile defense demand surging; 21st Century Security initiative.

SECTION 3

Leadership Team Profiles

The following contacts are recommended as primary outreach targets - champion-level leaders who feel the organizational pain daily and can sponsor McChrystal internally.

Chauncey McIntosh - VP & GM, F-35 Lightning II Program [PRIORITY TARGET]

New F-35 program leader; managing the world's most expensive weapons program across 15 global production sites

Outreach rationale: The F-35 program is Lockheed's organizational coordination centerpiece - 15 global production sites, thousands of suppliers, dozen+ allied nation partnerships, and the most complex supply chain in defense. A new program leader (Dec 2024) is establishing operating norms. McChrystal's Team of Teams model directly addresses multi-site, multinational production coordination.

Frank St. John - COO [PRIORITY TARGET]

Operational leadership across four business segments

Outreach rationale: Oversees operational execution across all four segments - the enterprise coordination challenge of ensuring Aeronautics, MFC, RMS, and Space don't compete for shared resources while each scales to meet record demand.

Additional leadership team members relevant to the engagement:

Jim Taiclet - Chairman, President & CEO

Former CEO of American Tower; brought commercial scale-up experience to defense

Jesus 'Jay' Malave - CFO

Financial leadership; capital allocation across massive program portfolio

SECTION 4

Organizational Culture & Structure

Culture and structure are often where McChrystal Group finds the deepest leverage. The following signals indicate how Lockheed Martin operates today and where friction exists.

Organizational Structure

Four business segments: Aeronautics (F-35, F-16, C-130, classified), Missiles & Fire Control (THAAD, PAC-3, Javelin, hypersonics), Rotary & Mission Systems (Black Hawk, AEGIS, cyber), Space (Orion, GPS III, missile warning). Strong matrix with program managers crossing segment boundaries. F-35 program is the organizational spine - touching all four segments and 15 global sites.

Culture Signals

Mission-Driven Culture: Lockheed's culture centers on national security mission - employees believe their work protects lives. This creates intrinsic motivation but also resistance to anything perceived as bureaucratic

overhead.

Program-Centric Organization: Culture is organized around programs (F-35, THAAD, Orion) rather than functions. Program managers have significant authority - creating strong execution on individual programs but weaker cross-program coordination.

International Complexity: F-35's 15-nation partnership creates cultural complexity - each ally has different requirements, work-share demands, and decision-making processes. The organizational challenge of managing 15 nations' industrial participation is unprecedented.

Talent Competition: Aerospace engineers and cleared personnel are in extreme demand. SpaceX, Northrop, RTX, and tech companies compete aggressively for Lockheed's talent.

SECTION 5

Recent News & Trigger Events

The following developments from the past 18 months create urgency and provide natural conversation entry points for engaging Lockheed Martin.

1. 2025-12-01 - Record 191 F-35 deliveries in 2025; \$3.5B invested in production capacity and next-gen technologies

Peak production + capacity investment = simultaneous operational scaling and future preparation. The coordination challenge between current delivery and future capability is where McChrystal creates value.

2. 2024-12-01 - Chauncey McIntosh appointed VP & GM of F-35 program - new leader for the world's most expensive weapons program

New program leader establishing operating norms for a 15-site, multi-nation production system. First 12 months are the highest-leverage moment for McChrystal engagement.

3. 2026-01-12 - Secretary of War visited F-35 production facility in Fort Worth

Government visibility signals increased political/defense attention on F-35 production execution - raising the organizational stakes.

4. 2025-06-01 - Fort Worth facility transformation from F-16 to F-35 production continuing; 19,000 employees at single site

Single-site transformation of 19,000 employees from one platform to another - a massive organizational change management challenge.

5. 2025-06-01 - International F-35 demand accelerating as NATO allies increase defense spending post-Ukraine/Iran

International demand growth = more complexity in 15-nation production sharing - the organizational coordination challenge multiplies.

SECTION 6

McChrystal Fit Assessment

Enormous organizational complexity and genuine coordination challenges across F-35's global production network. New F-35 program leader creates an entry window. However, Lockheed's internal program management culture is strong, and the company has managed this complexity for 20+ years. Rating moves to Strong if: the new F-35 leader signals interest in external operating model support, OR if production rate acceleration creates coordination gaps that existing systems can't handle.

Primary Problem

Scaling the world's largest defense program (F-35) across 15 global production sites and 15+ allied nations while simultaneously investing \$3.5B in next-generation capabilities - requiring organizational coordination at a scale and complexity no defense company has ever managed.

Best McChrystal Capability Fit

Multi-site, multinational production coordination - the F-35 program is the largest Team of Teams challenge in defense. 15 production sites, 15+ nations, thousands of suppliers, and 122,000 employees must coordinate to deliver 200+ aircraft per year while maintaining quality, security, and allied partnership. McChrystal's military experience coordinating multinational forces is the direct analog.

Likely Objections to Engagement

Lockheed has managed F-35 production for 20+ years - why change now?
 McKinsey/BCG already advise on production strategy
 Defense program management is a specialized domain
 Government oversight (DCMA, DCAA) adds complexity to external advisory

Competitive Advisory Landscape

McKinsey Aerospace & Defense - production strategy, supply chain
 BCG - operational transformation
 Booz Allen Hamilton - defense-specific advisory
 Internal: Lockheed has deep program management capability

SECTION 7

Conversation Entry Points

These questions are designed for a Senior Partner's first conversation. Each opens a thread that naturally leads to McChrystal Group's capabilities without a direct pitch.

1. With 191 F-35 deliveries and 15 global production sites, what's the coordination mechanism that keeps all 15 sites synchronized - and where does it strain as production rates increase?

Specific, technical question showing deep understanding of F-35's organizational challenge.

2. As NATO allies accelerate orders post-Ukraine/Iran, how is the 15-nation industrial participation model adapting - and where does cross-national coordination create the most friction?

Surface the international coordination challenge that gets harder with every new nation and every production rate increase.

Recommended Meeting Framing

Frame as a conversation about multinational force coordination - McChrystal's experience coordinating allied special operations across 15+ countries maps directly to F-35's 15-nation production partnership. The parallel is genuine and resonant with Lockheed's defense culture.

SECTION 8

Brand Insights & Market Positioning

Brand strategy reveals organizational priorities and coordination challenges. The following analysis connects Lockheed Martin's market positioning to potential McChrystal engagement opportunities.

Brand Value: Lockheed Martin is the most recognized name in global defense - synonymous with advanced military technology. The F-35 is the brand's flagship, representing the most expensive and complex weapons system in history. Brand equity extends to missile defense (THAAD, PAC-3), space (Orion), and classified programs (skunk works legacy).

Brand Threats: F-35 sustainment cost criticism from DoD; production quality concerns if rate increases outpace coordination capability; competitor programs (NGAD) that could shift organizational focus.

McChrystal Connection: Lockheed's brand promise of "delivering advanced defense capability" requires flawless coordination across the most complex production network in defense history. McChrystal's multi-site coordination model ensures the brand promise of technology leadership translates to production execution.

SECTION 9

Deep McChrystal Group Fit Analysis

This is the strategic case for pursuing Lockheed Martin. It synthesizes findings from all previous sections into a comprehensive engagement thesis with specific fit dimensions, expected outcomes, stakeholder mapping, and a phased pursuit strategy.

9a. Fit Dimensions

Fit Dimension 1: F-35 Global Production Coordination

15 production sites across 15+ allied nations, each with different regulatory requirements, work-share obligations, and cultural contexts. This is the most complex production coordination challenge in defense - and it's getting harder as production rates increase and nations add requirements. McChrystal's multinational force coordination experience is uniquely relevant.

Fit Dimension 2: Cross-Segment Resource Coordination

Four segments competing for shared resources (engineering talent, cleared personnel, manufacturing capacity, test facilities). Program managers optimize their own programs; enterprise leadership must optimize the portfolio. McChrystal's operating model balances segment autonomy with enterprise coordination.

Fit Dimension 3: Current Production + Future Investment

Delivering 191+ F-35s while investing \$3.5B in next-gen capabilities requires organizational ambidexterity - running the current business at peak performance while building the future. McChrystal's dual-operating model expertise addresses this tension.

9b. Cumulative Case

Lockheed is the organizational coordination challenge at defense-industrial scale. Signal chain: Record demand -> 15 global production sites -> 15+ allied nations -> new F-35 program leader -> \$3.5B capacity investment -> workforce scaling -> supply chain constraints. Revenue potential: \$500K initial (F-35 coordination pilot), \$1.5M-\$2M deployment, \$500K ongoing. Total: \$2.5M-\$3M.

9c. Enterprise Issues

1. F-35 15-Nation Coordination: Each nation has different industrial participation requirements, quality standards, and decision-making processes. Coordination overhead grows non-linearly with each new partner. 2. Production Rate vs. Quality: Increasing production from 156 to 191 (and targeting higher) strains quality systems. Any quality escape in an advanced fighter aircraft has severe consequences. 3. Sustainment Cost Pressure: DoD criticism of F-35 sustainment costs creates organizational tension between production focus and lifecycle cost reduction. 4. Talent Retention: 122,000 employees in extreme demand from competitors. Critical engineering talent is the scarcest resource. 5. Supply Chain Brittleness: Thousands of suppliers, many sole-source, create fragility at higher production rates.

9d. Expected Outcomes

1. F-35 Production Coordination Enhancement: Operating rhythm connecting 15 global sites. Measurable: production milestone variance reduced. 2. Cross-Segment Resource Optimization: Enterprise coordination for shared resources. Measurable: resource allocation conflicts reduced by 40%. 3. New Program Leader Effectiveness: Operating model for new F-35 leader. Measurable: leader effectiveness metrics established within 90 days. 4. Supplier Coordination: Cross-site supply chain operating cadence. Measurable: supplier delivery performance improving.

9e. Key Stakeholders

CEO

Leader: Jim Taiclet, Chairman/CEO
Role: Enterprise leadership
McChrystal Relevance: Executive sponsor

COO

Leader: Frank St. John [INFERRED]
Role: Cross-segment operations

McChrystal Relevance: Priority: Enterprise coordination

F-35 Program

Leader: Chauncey McIntosh, VP & GM

Role: World's largest weapons program

McChrystal Relevance: Priority: Multi-site coordination

CFO

Leader: Jay Malave

Role: Capital allocation

McChrystal Relevance: Budget gatekeeper

Aeronautics

Leader: [President]

Role: F-35, F-16, classified

McChrystal Relevance: Largest segment

9f. Opportunity Thesis

Why Now: New F-35 program leader (Dec 2024) + production rates increasing + international demand accelerating + \$3.5B capacity investment. The organizational coordination demands are growing faster than the existing systems can handle.

Why McChrystal, Not McKinsey: McKinsey advises on production strategy. But coordinating 15 global production sites across 15 allied nations is a military coalition management challenge, not a consulting challenge. McChrystal literally commanded multinational forces - the credibility is unchallengeable.

Phased Engagement: Phase 1 (\$400K-\$500K): F-35 production coordination assessment. Phase 2 (\$1M-\$1.5M): Multi-site operating model deployment. Phase 3 (\$500K retainer): Ongoing coordination management. Total: \$2M-\$2.5M.

Multi-Threaded Pursuit: Chauncey McIntosh (F-35 program), Frank St. John (COO), Jim Taiclet (CEO via defense network). McChrystal's military connections with F-35 user commands (USAF, USMC, allied air forces). Defense conferences (AFA, Paris Air Show).